

Touchstone 1: Create a SWOT Analysis

ANALYSIS

Please make sure that you review the Unit 1 Touchstone 1 instructional guide carefully. After you've analyzed the scenario and completed your research of outside sources, record at least four strengths, four weaknesses, four opportunities, and four threats as bulleted lists in the appropriate spaces below.

Strengths	Weaknesses
• Unique flavor innovation drives customer loyalty: Quenchbliss's distinctive flavors like "Bacon and Eggs" attract a niche market, with subscription boxes being a top seller (Scenario). This strengthens brand identity and repeat purchases. • Flat, organic structure enhances agility: The flexible structure allows quick decision-making, with the CEO engaging in operations (Scenario). This fosters innovation in a dynamic industry. • Successful Juarez expansion demonstrates market potential: The Juarez distribution center has gained popularity due to low competition (Scenario). This proves international market capability. • Reliable revenue from traditional flavors: Cola and lemon-lime sodas provide consistent income through restaurants and grocery stores (Scenario). This stabilizes finances.	• High turnover in production and distribution roles: Non-competitive salaries lead to recruitment challenges and high turnover (Scenario). This disrupts operational stability and increases costs. • Lost local restaurant chain contract: Expansion efforts led to losing a key local contract (Scenario). This reduces local market presence and revenue. • Declining subscription box sales: A decrease in subscriptions indicates weakening customer retention (Scenario). This threatens a major revenue stream. • Internal friction from strategic shifts: Pausing expansion for product development has caused employee dissatisfaction (Scenario). This risks lowering morale.
Opportunities	Threats
• Growing demand for craft beverages: The craft soda market is expanding as consumers seek	• Increased competition from national brands: Brands like Jones Soda are expanding in the

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artisanal products (Beverage Industry, 2025). This positions Quenchbliss to capture new customers. • Expansion into Caribbean markets: Markets like Santo Domingo have low competition for craft sodas (Scenario). This offers growth potential similar to Juarez. • Leveraging social media for brand visibility: Social media buzz around novel flavors can boost subscriptions and store visits (Mintel, 2024). This enhances marketing reach. • Partnerships with local entertainment venues: El Paso's "entertainment shopping" scene offers co-branded event opportunities (El Paso Chamber, 2024). This can drive foot traffic.	Southwest, threatening market share (Beverage Industry, 2025). This challenges Quenchbliss's niche positioning. • Shifting consumer preferences: Younger consumers prefer healthier beverages, potentially reducing demand for sugary sodas (Mintel, 2024). This risks declining sales. • Economic downturn in El Paso: A slowdown in local retail spending could reduce store visits (El Paso Chamber, 2024). This threatens local revenue. • Rising labor costs in El Paso and Juarez: Increasing wages could strain budgets, exacerbating turnover issues (Indeed, 2025). This impacts financial stability.
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IMPACT

Select at least two items identified in your SWOT Analysis that are likely to have an effect on aspects of the internal organization, such as structure, culture, stability, and complexity. Write 2-4 paragraphs that explain why each is important and what effect it will have on the organization. Be sure to include citations from your outside references to support your paragraphs.

High Turnover in Production and Distribution Roles

High turnover in production and distribution roles is a pressing concern for Quenchbliss, as it undermines the operational stability required for consistent production of craft sodas. The company's flat, organic structure depends on employees' ability to handle multiple roles, fostering agility and innovation (Scenario). However, frequent turnover necessitates ongoing training, which increases costs and risks quality inconsistencies, particularly detrimental for a brand built on unique flavors like "Thanksgiving Turkey." This instability can delay product development cycles, weakening Quenchbliss's ability to compete in the fast-paced craft beverage market. Furthermore, turnover disrupts the clan-like culture, characterized by trust and collaboration, as new hires may struggle to integrate into this dynamic. This can

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exacerbate existing internal friction from strategic shifts, lowering morale and engagement. Organizational culture significantly influences employee retention and innovation, and disruptions can hinder long-term success (Sophia Learning, n.d., Corporate Cultures). Addressing turnover is essential to maintain Quenchbliss's operational efficiency and cultural integrity.

Expansion into Caribbean Markets

The opportunity to expand into Caribbean markets introduces significant growth potential but also increases organizational complexity, impacting Quenchbliss's structure and culture. Currently, Quenchbliss operates from a single El Paso location, enabling tight coordination and rapid decision-making within its flat structure. International expansion requires new distribution networks, compliance with diverse regulations, and management of a dispersed workforce, potentially necessitating a more formalized structure, such as a divisional or matrix design (Sophia Learning, n.d., Organizational Designs). This shift could reduce the flexibility that employees value, potentially leading to resistance and straining the clan-like culture that emphasizes collaboration and personal relationships. However, successful expansion could reinforce Quenchbliss's innovative identity, fostering pride and engagement among employees. Research suggests that managing organizational change effectively, such as through Kotter's change model, ensures alignment with core values during growth (Sophia Learning, n.d., Managing Change). Strategic planning is crucial to balance expansion with cultural cohesion.

RECOMMENDATIONS

Write 2-4 paragraphs with recommendations for Quenchbliss based on the impact statements above. Each recommendation should include a brief risk analysis to anticipate potential pitfalls and propose measures to address these risks. Be sure to include citations from your outside references to support your paragraphs.

To address the high turnover in production and distribution roles, Quenchbliss should benchmark salaries against industry standards in El Paso and Juarez, using data from platforms like Indeed (2025), and implement competitive wages with performance-based bonuses tied to production goals. This leverages the company's strength of reliable revenue from traditional flavors to fund salary adjustments, stabilizing operations and preserving the clan-like culture disrupted by turnover. Fair compensation enhances employee engagement, aligning with diversity principles that emphasize equitable treatment to foster loyalty (Sophia Learning, n.d., Diversity and Its Impact on Companies). A stable workforce ensures consistent product quality, critical for maintaining customer loyalty driven by unique flavors. Risk Analysis: Increasing salaries may strain finances, particularly with declining subscription sales.

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Mitigation: Phase salary increases over 12 months, prioritizing high-impact roles, and offset costs by raising subscription prices by 5%, leveraging the strength of unique flavors to maintain customer retention (Mintel, 2024). Regular employee feedback sessions can monitor morale and adjust compensation strategies, ensuring cultural alignment.

To capitalize on the opportunity for Caribbean market expansion while managing increased organizational complexity, Quenchbliss should implement a participatory planning process using Appreciative Inquiry, involving employees in defining goals and designing expansion strategies. This leverages the flat, organic structure's agility to foster collaboration and maintain the clan-like culture during growth. Appreciative Inquiry encourages employee buy-in, reducing resistance to structural changes like adopting a matrix design for international operations (Sophia Learning, n.d., Appreciative Inquiry). Expansion can enhance Quenchbliss's innovative identity, boosting pride and engagement. Servigroup (2023) highlights that inclusive planning mitigates cultural challenges in international markets (International Expansion Challenges). Risk Analysis: Participatory processes may slow decision-making, delaying expansion, and employees may resist structural changes. Mitigation: Set a 3-month planning timeline with clear milestones, and use Kotter's change model to communicate the expansion vision, ensuring alignment with Quenchbliss's values (Sophia Learning, n.d., Managing Change). Pilot the expansion in one market (e.g., Santo Domingo) to test logistics and refine processes.

REFERENCES

List at least 5 references in APA format, 2 of which can be from the Sophia Learning course tutorials and at least 3 that are original research on the external environment.

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